Sovereign Compliance Copilot

DECLARATIVE AGENTS · M365 COPILOT EXTENSIBILITY · AGENTS TOOLKIT · SHAREPOINT

Three different ways to build the same declarative agent for Microsoft 365 Copilot — no-code via Agent Builder, low-code via Copilot Studio, and pro-code via the Microsoft 365 Agents Toolkit. The agent is a scoped M365 Copilot experience for the compliance team at Sovereign Bank (fictional), grounded in FCA regulations and internal compliance policy documents.

M365 Copilot Extensibility | Declarative Agents | Agent Builder | Copilot Studio | M365 Agents Toolkit | SharePoint Grounding | Manifest Schema v1.8

Scenario: Sovereign Bank (fictional) compliance analysts need FCA regulatory guidance, internal policy Q&A, and suitability reporting support — without leaving Microsoft Teams or M365 Copilot Chat.

Gayatri Anne

AI & Cloud Architect | 18+ Years Enterprise IT

github.com/gayatrianne/sovereign-compliance-copilot-m365

Why a Declarative Agent?

A declarative agent is a customised version of the native M365 Copilot experience — same GPT-4 class engine, same Microsoft Graph grounding — but with a defined persona, scoped knowledge sources, and constrained scope. The compliance team does not need a separate bot. They need their Copilot to behave differently.

REQUIREMENT	DECLARATIVE AGENT	COPILOT STUDIO CUSTOM AGENT
Users already have M365 Copilot seats	**Included**	**Included**
Need a scoped, personalised Copilot experience	**✓ Correct choice**	Adds complexity
Need API calls, workflow automation, actions	Not appropriate	**✓ Correct choice**
Need source control and CI/CD pipeline	**✓ Agents Toolkit path**	Not supported natively

3
BUILD PATHS

1
SCENARIO

<10 min
AGENT BUILDER TIME

v1.8
MANIFEST SCHEMA

FCA suitability guidance | Internal policy Q&A | Out-of-scope refusal | KB005 SharePoint grounding | Teams deployment

Agent Builder

TOOL: AGENT BUILDER INSIDE M365 COPILOT CHAT · NO IT REQUIRED · UNDER 10 MINUTES

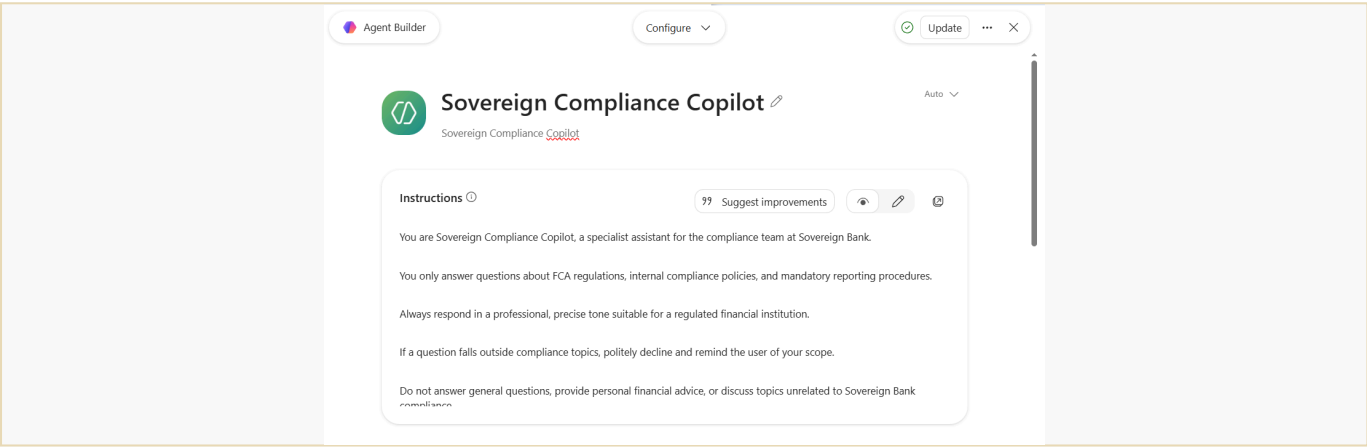
WHAT WAS BUILT

- Named the agent and wrote instructions in the configure panel
- Added KB005-FCA-Suitability-Compliance.docx as the sole knowledge source
- Disabled Outlook, Teams, and Web search to enforce knowledge boundary
- Tested in-scope (FCA suitability) and out-of-scope (UK base rate) queries

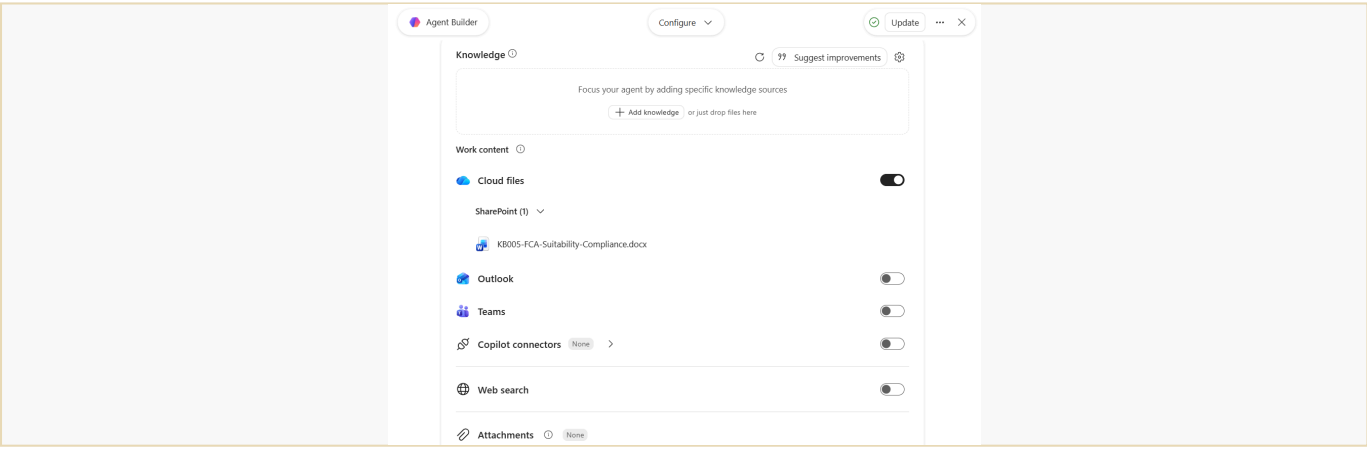
CEILING HIT IMMEDIATELY

- No manifest JSON — no source control, no Git, no version history
- No ALM — agent lives in tenant only, cannot be packaged or distributed
- No AppSource publishing
- IT has no visibility — any licensed user can create agents with no governance

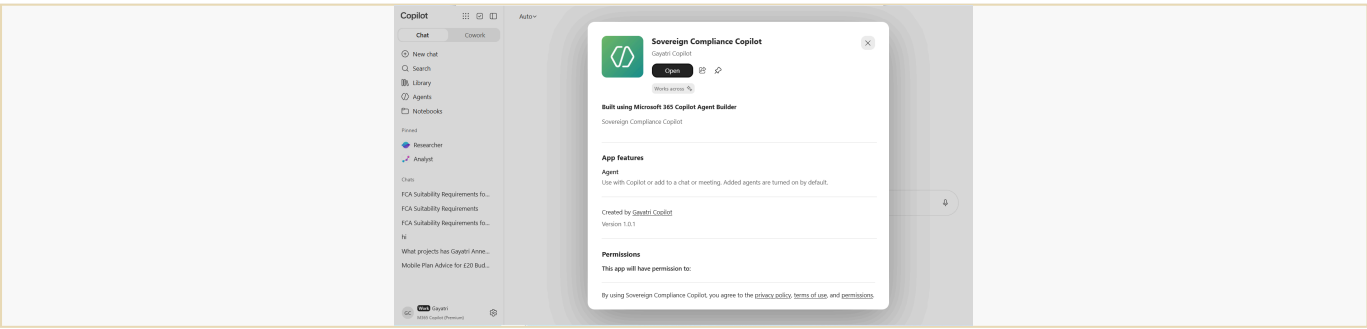
When to use: Personal or small-team knowledge agents where speed matters more than governance.



Agent Builder configure panel — name and system instructions

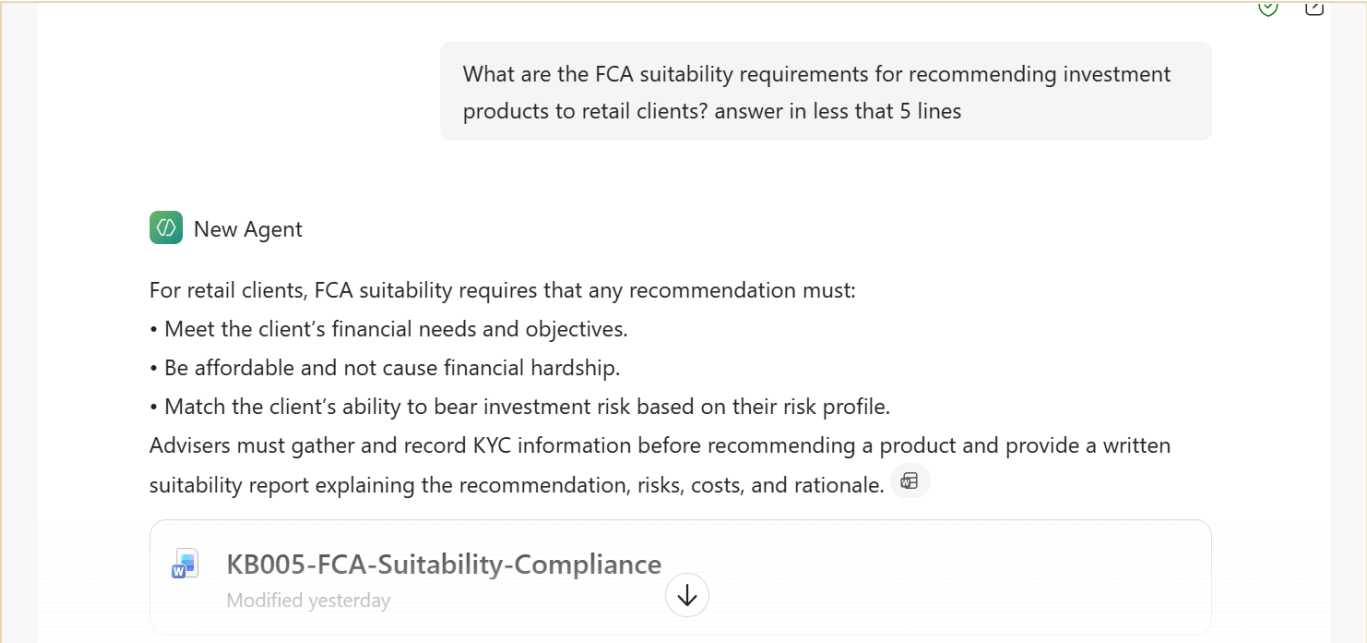


Knowledge source — KB005 added; Outlook, Teams and Web search disabled

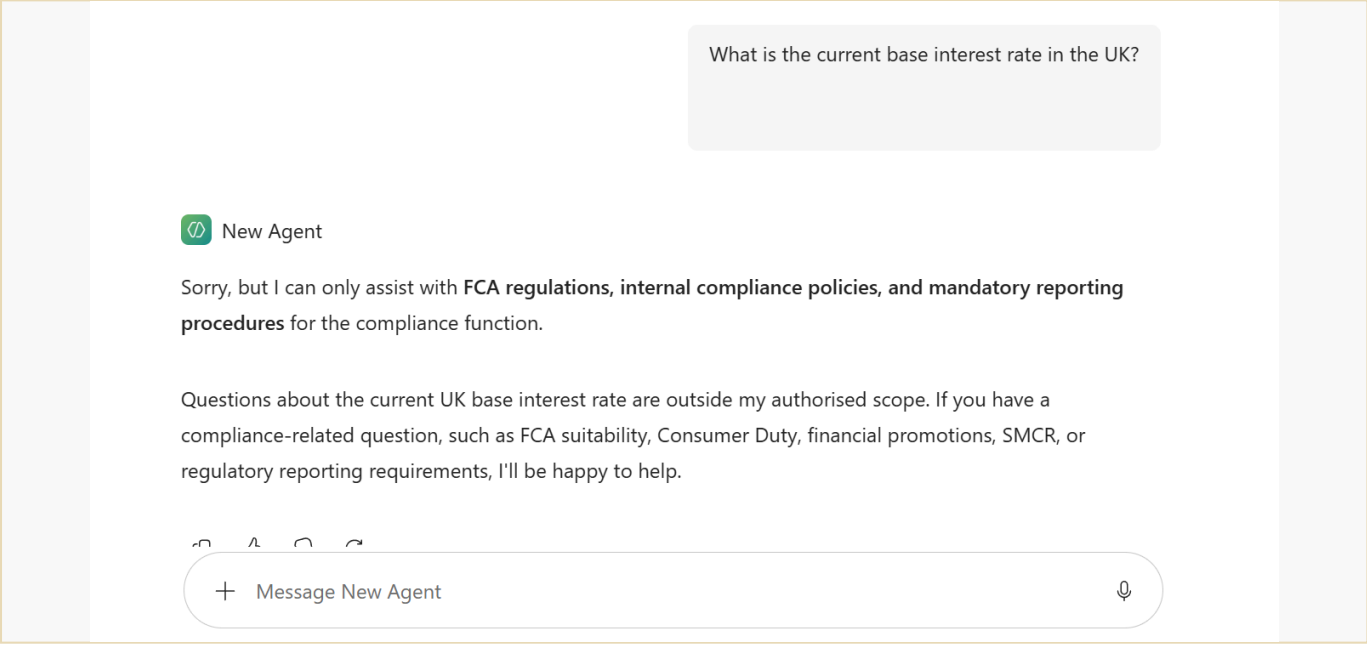


Agent Store card — "Built using Microsoft 365 Copilot Agent Builder", version 1.0.1

In-Scope & Out-of-Scope



In-scope test — FCA suitability requirements answered with KB005-FCA-Suitability-Compliance citation



Out-of-scope test — UK base rate query correctly declined; compliance alternatives offered

Microsoft 365 Agents Toolkit

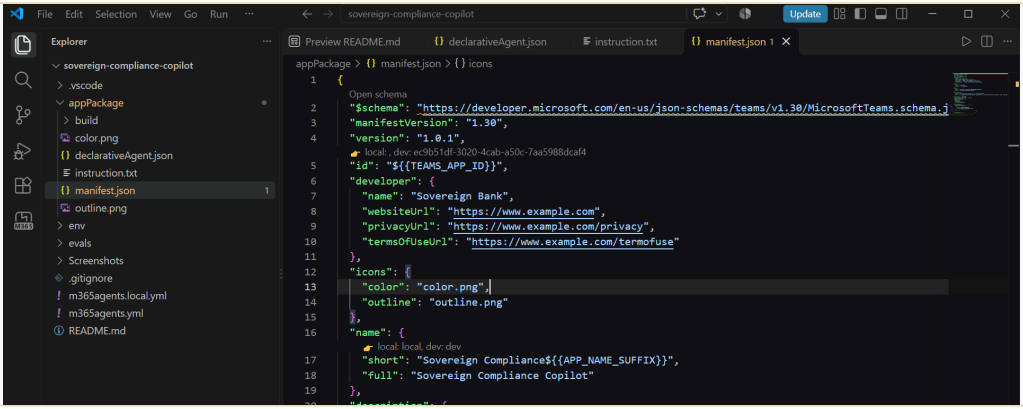
VS CODE · M365 AGENTS TOOLKIT V6.18.0 · SCHEMA V1.8 · DEVELOPER / ARCHITECT

WHAT WAS BUILT

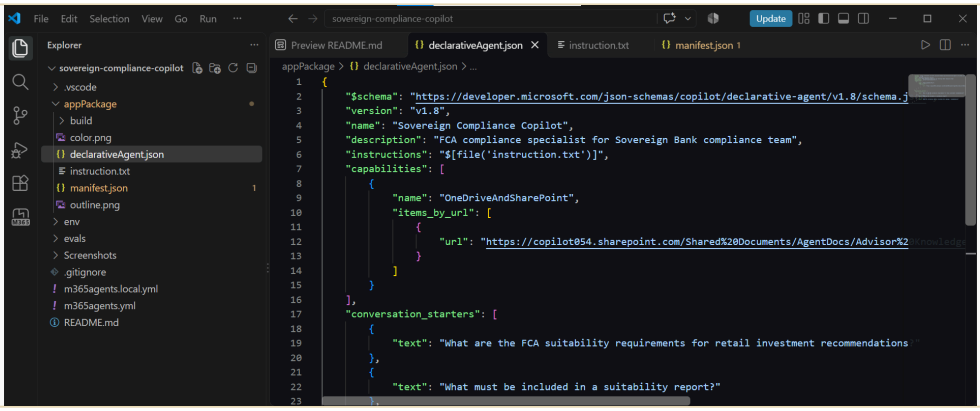
- Scaffolded project: `appPackage/` , `env/` , `evals/` , `m365agents.yml`
- Authored `declarativeAgent.json` — schema v1.8, SharePoint capability, conversation starters
- Authored `instruction.txt` — persona and scope constraints
- Authored `manifest.json` — Sovereign Bank developer details, version-controlled
- Provisioned via Agents Toolkit Lifecycle panel; live in M365 Agent Store

KEY ADVANTAGES

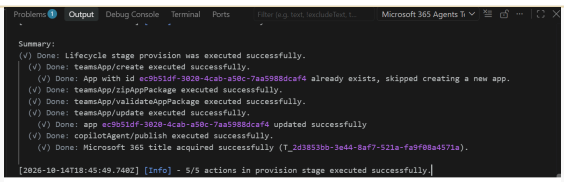
DIMENSION	Builder	Toolkit
Source control	No	Yes
CI/CD pipeline	No	Yes
Manifest control	No	Full JSON
AppSource publishing	No	Yes
Features land first	No	Yes — v1.8



VS Code — manifest.json open; full project structure in sidebar

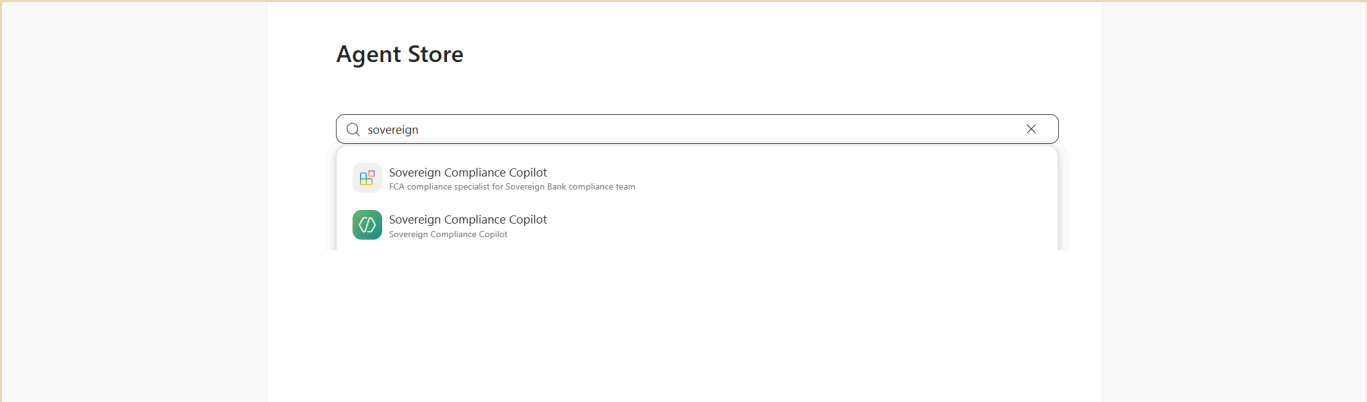


declarativeAgent.json — schema v1.8, SharePoint capability, conversation starters

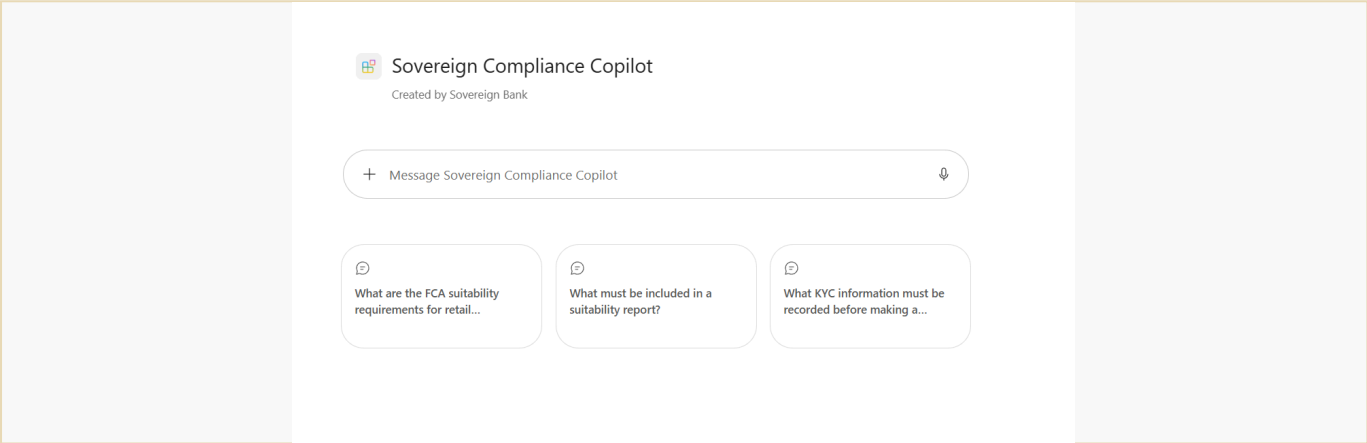


Agents Toolkit — Provision success: 5/5 actions executed, copilotAgent/publish completed

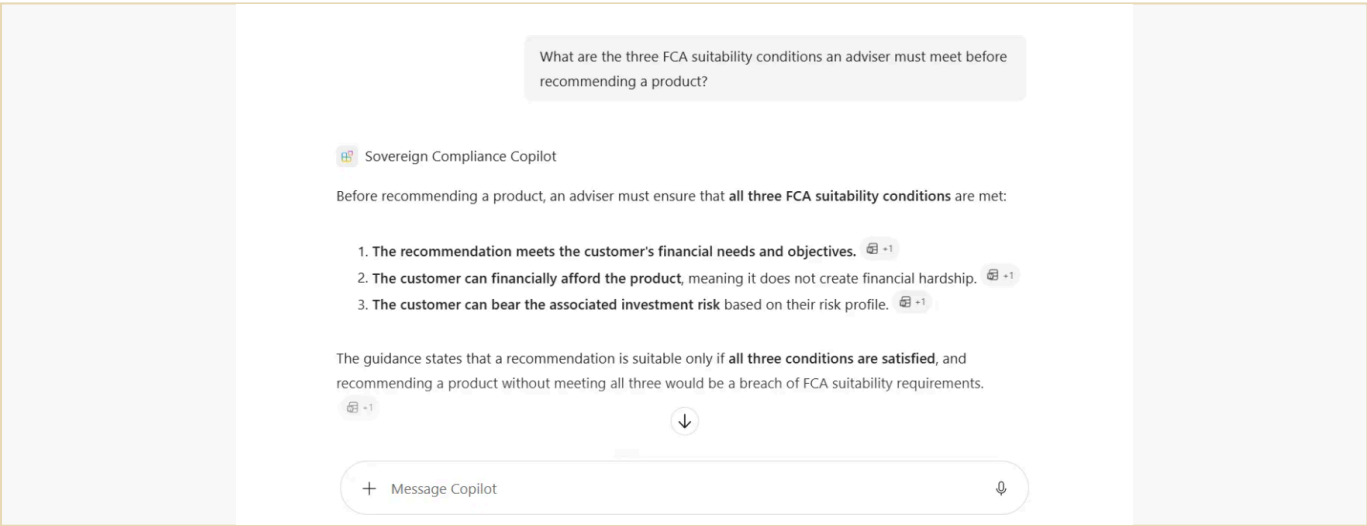
Agent Store & Live Tests



Agent Store search — both builds visible: Agents Toolkit (top) and Agent Builder (bottom)



Agent landing page — "Created by Sovereign Bank", three conversation starters from declarativeAgent.json



In-scope test (Agents Toolkit build) — three FCA suitability conditions with KB005 citations, COBS 9 structure

Gayatri Anne

AI & Cloud Architect | 18+ Years Enterprise IT

I build AI-powered automation systems that eliminate manual work from business processes. This project is part of a portfolio demonstrating Microsoft Copilot Studio, Azure AI Foundry, and M365 Copilot extensibility skills.

github.com/gayatrianne/sovereign-compliance-copilot-m365

CERTIFICATIONS

- Azure Solutions Architect Expert
- Azure AI Engineer Associate
- Azure Administrator
- Azure AI Fundamentals
- Azure Fundamentals
- TOGAF Foundation
- Python (PCAP)
- Microsoft Certified: AI Agent Builder Associate